Sector Underwriting Note: Textiles

ASHVA CAPITAL CREDIT POLICY MANUAL Document Ref: CPM-2024-SEC-TXT Effective Date: November 1, 2024 Issuing Authority: Office of the Chief Credit Officer Target Audience: Underwriters, Risk Managers, Portfolio Officers

SECTION 14.8: SECTOR UNDERWRITING NOTE – TEXTILES & APPAREL SMALL AND MEDIUM ENTERPRISES (SMEs)

14.8.1 Scope and Portfolio Limits 1. Application: This policy applies to all direct lending facilities (working capital lines, term loans, and machinery finance) extended to SMEs operating within the yarn spinning, fabric weaving/knitting, textile processing, and garment manufacturing sub-sectors (NAICS 313, 314, 315). 2. Maximum Portfolio Exposure Cap: The total aggregate exposure to the Textiles & Apparel sector shall not exceed 8.75% of Ashva Capital's total gross outstanding loan book at any given time. 3. Single Borrower Group Exposure: Exposure to any single obligor or connected economic group in this sector is capped at USD 2,250,000 (or INR 18.75 Crore equivalent).

14.8.2 Sector Financial Ratios and Debt Service Cover

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| Metric | Baseline Standard Policy | Textile Sector Floor |
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| Debt Service Coverage Ratio (DSCR) | 1.25x | 1.38x |
| Minimum Current Ratio | 1.20x | 1.35x |
| Maximum Debt-to-EBITDA | 4.00x | 3.25x |
| Minimum Operating Margin (EBITDA) | 8.00% | 10.50% |
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1. DSCR Floor: Due to elevated margin volatility, the minimum acceptable historic and projected Debt Service Coverage Ratio (DSCR) for Textiles SMEs is 1.38x (calculated after deducting maintenance capital expenditures and unhedged foreign exchange losses). Facilities demonstrating a projected DSCR between 1.25x and 1.37x require explicit joint sign-off from the Head of SME Credit (Rohan Verma) and the Chief Credit Officer.
2. Minimum Operating History: Applicants must demonstrate a minimum continuous operating vintage of 4.0 years under the same primary management team.

14.8.3 Working Capital Cycle Norms Underwriters shall benchmark borrower working capital requests against the standardized 135-Day Net Working Capital Cycle detailed below. Any facility request premised on a operating cycle exceeding 135 days must be penalised by a 100 bps risk premium increase.

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Raw Material Inventory Holding Period: 45 Days
+ Work-in-Progress (WIP) Holding Period: 20 Days
+ Finished Goods Inventory Holding Period: 35 Days
+ Accounts Receivable Outstanding (DSO): 75 Days
- Accounts Payable Outstanding (DPO): (40 Days)
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Standard Net Working Capital Cycle: 135 Days
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1. Maximum Allowable DSO: Accounts Receivable Days Sales Outstanding (DSO) shall not exceed 80 days. Receivables outstanding beyond 90 days are automatically zero-rated for Drawing Power (DP) calculations.
2. Maximum Allowable Inventory Holding: Total inventory holding (Raw Material + WIP + Finished Goods) shall not exceed 90 days.

14.8.4 Seasonality Adjustments and Cash Buffers Textile manufacturing cash flows are heavily concentrated in the pre-festival/autumn shipping window (August 1 through November 30). Underwriters must enforce the following structural covenants:

1. Off-Peak Drawing Power Reduction: During the low-demand quarter (January 1 through March 31), the borrower's eligible Drawing Power against inventory and receivables shall automatically contract by 15.0%.
2. Debt Service Reserve Account (DSRA): Borrowers must maintain a trapped cash buffer equivalent to 2.0 months of principal and interest repayments in a designated Debt Service Reserve Account (DSRA) pledged to Ashva Capital. This buffer must be fully funded prior to initial loan disbursement.
3. Seasonal Liquidity Sweep: 25% of all net cash proceeds generated during the peak collection months of October and November shall be directed to an escrow cash-collateral sub-account to cover interest obligations for the subsequent Q1 period.

14.8.5 Primary Sector Distress Drivers Underwriters must evaluate applicant resilience against the two primary drivers of systemic default in this sector:

1. Raw Material Price Volatility (Cotton/Yarn Spreads): Sudden spikes in spot cotton/yarn costs that cannot be passed through to end-buyers within 30 days.
* *Underwriting Mandate:* If the borrower does not hold fixed-price supply contracts covering at least 40% of projected raw material consumption for the next two quarters, the underwriter must run a stress-test scenario assuming a 15.0% increase in raw material input costs. The resulting stressed DSCR must remain at or above 1.15x.
2. Anchor Buyer Concentration and Order Cancellations: High reliance on a limited buyer base subjected to rapid seasonal collection changes or retail downturns.
* *Underwriting Mandate:* Revenue concentration to any single buyer shall not exceed 25.0% of total annual revenue. Receivables from any buyer exceeding this limit shall be entirely excluded from the eligible Drawing Power base.

14.8.6 Acceptable Collateral and Haircuts Unsecured lending to Textile SMEs is strictly prohibited. All facilities must be secured by primary working capital assets and secondary real estate or fixed equipment security subject to the following maximum Loan-to-Value (LTV) limits and haircuts:

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| Collateral Category | Max LTV | Standard Haircut |
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| Commercial / Industrial Real Estate (Factory Site) | 60.0% | 40.0% |
| Pledged Raw Material Stock (Cotton Bales / Yarn) | 50.0% | 50.0% |
| Pledged Finished Goods Inventory (Standard Fabrics) | 40.0% | 60.0% |
| Primary Processing Machinery (Age < 5 Years) | 35.0% | 65.0% |
| Work-in-Progress (WIP) Stock | 0.0% | 100.0% (Excluded)|
| Receivables > 90 Days Past Due | 0.0% | 100.0% (Excluded)|
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14.8.7 Summary of Key Numeric Thresholds The following absolute thresholds apply to all sector approvals and cannot be waived at the Underwriter level:

1. Maximum Sector Exposure Cap: 8.75% of total loan book.
2. Minimum DSCR Floor: 1.38x.
3. Minimum Business Vintage: 4.0 years.
4. Maximum Single Buyer Concentration Limit: 25.0% of revenues.
5. Maximum Receivable DSO: 80 days.
6. Off-Peak DP Haircut Penalty: 15.0% reduction (Jan 1–Mar 31).
7. Raw Material Input Cost Stress Test: +15.0% cost increase yielding min 1.15x stressed DSCR.
8. DSRA Funding Requirement: 2.0 months of debt service funded upfront.